

July 23, 2026 06:19 AM GMT

Texas Instruments | North America

Holding Up

WHAT'S CHANGED

Texas Instruments (TXN.O)	From	To
Price Target	\$230.00	\$255.00

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↑ Modest upside Financial results versus consensus	↑ Modest revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

TI reported a strong quarter and seasonal outlook, basically meeting elevated expectations; comments about automotive positive sustainability were notable. It's a positive cycle but relative valuation keeps us UW.

Key Takeaways

- Consensus beat and raise driven by strength across all end markets.
- GM% upside (61.4% JunQ vs 60%) driven by increasing loadings; guided up q/q in SepQ.
- CY26 capex guide biased above midpoint (\$2bn-\$3bn); MSe moves from \$2.6bn to \$2.8bn.

TI reported a solid quarter, but was up against heightened expectations going into the print. We had expected TI to have a strong quarter, and raised our JunQ/SepQ estimates to above-seasonality earlier this week, **primarily based on positive read-throughs from our Distributor Survey**. While the company reported above seasonal q/q growth for both qtrs and above cons GM% – prior to the quarter we believe investors were looking for DD+ sequential revenue growth or confidence in meaningful GM% expansion. We view the quarter as broadly in line with elevated expectations given the GM% print and modest guide-up, but with the bar already high, the slight stock pullback was not surprising.

That said, we acknowledge the recent strength for TI, and our CY26/27 ests come up by 9%/11% primarily on the stronger JunQ print, as we had already given above-seasonal credit to SepQ. Our view is that this time appears to be proving different – recall last JunQ the recovery was narrow and expectations missed after a false start. This quarter, automotive inflected hard (mid-teens YoY, +HSD (q/q) and mgmt characterized demand as "everywhere." The broadening seems to be holding up, but durability post-restocking (particularly in auto) and the GM% ceiling given the depreciation overhang remain the key debates heading into SepQ.

We remain UW. The core bull case still rests on a post-build FCF inflection in 2027, with FCF moving above reported earnings, but comments on the call appear to point to another year of capex at or above depreciation in 2027, unless revenues slow. We

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Texas Instruments (TXN.O, TXN US)

Semiconductors | United States of America

Stock Rating	Underweight
Industry View	Attractive
Price target	\$255.00
Shr price, close (Jul 22, 2026)	\$294.19
Mkt cap, curr (mm)	\$273,029
52-Week Range	\$334.03-152.73

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	5.45	8.57	9.80	10.73
Prior EPS (\$) **	-	7.90	8.86	9.79
P/E	31.5	34.4	29.4	26.7
EPS (\$) §	5.48	7.77	9.25	10.72
Div yld (%)	3.2	1.9	2.1	2.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	1.28	-	1.68a	2.09	2.31
Q2	1.41	-	2.14a	2.11	2.36
Q3	1.48	2.18	2.43	2.40	2.66
Q4	1.27	2.10	2.31	2.26	2.48

e = Morgan Stanley Research estimates, a = Actual Company reported data

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also continue to think the SLAB acquisition could weigh on the multiple, given how central cash return is to the story. We continue to respect TI mgmt, but against that backdrop still view Analog Devices as the stronger long-term compounder, with TI's much more capital-intensive business model giving it much lower ROIC. That said, we are starting to see higher capacity utilization across the industry, which could mean we have underestimated some of the merits of TI's strategy in a more robust environment.

What we learned from the call/callback/release:

1.) (+) Cyclical broadening seems durable, with bright spots appearing in Auto.

The cycle has been relatively uneven, but last quarter we saw Industrial accelerate meaningfully and demand broaden across end markets. This print showed that strength holding up, with **Auto** joining the recovery in both units and mix - +mid-teens y/y, +HSD q/q, led by China EVs/hybrids and replenishment from unsustainably low customer inventory levels. **Industrial** also remained strong at ~30% y/y and ~10% q/q, still 5-6 points below the 2022 peak, with customers "early and not yet building inventory" – a setup that is positive for the broader analog group if demand holds. **PE** was flat y/y and +HSD q/q, while **Comms** grew both y/y and q/q despite some supply pressure on PE customers; **DC** doubled y/y and grew ~20% q/q, with demand remaining strong.

2.) (+) Pricing and supply tightness create ~incremental upside, but the current growth remains primarily demand-driven.

TI's pricing increases should phase in through SepQ, DecQ and potentially flow into 2027, and while this is certainly a positive development, the company had already been guiding to stronger 2H pricing since last quarter. At the same time, pricing has been firmer across the analog group more broadly, and TI's pricing actions have been known since last year, limiting how differentiated the upside is for TI over the NT-MT. Mgmt described the pricing contribution to the ~8% q/q SepQ guide as almost insignificant, with the vast majority coming from units. That leaves supply availability as the more tangible NT share opportunity, though it does not come without trade-offs: TI highlighted its competitive lead times, but that availability is supported by \$4.6bn of inventory/196 DOI and therefore comes with a meaningful balance sheet/capital-intensity trade-off. So while we agree TI is positioned to gain some share, the company lost share for several years before stabilizing in 2025, and we expect further gains to remain competitive.

3.) (=) The capacity advantage is increasingly visible, but capex/FCF remains the central LT debate.

Loadings increased from MarQ into JunQ and continued to rise throughout the quarter, while inventory allowed TI to respond to demand that developed faster than customer forecasts. TI does not appear close to a structural capacity ceiling: the company has several years of clean room availability and can add tools incrementally across Richardson, Sherman and Lehi. That said, the offset is that stronger demand requires additional equipment and backend capacity, with CY26 capex biased above the midpoint of current guidance (\$2-\$3bn CY26) and a greater proportion of spending moving toward assembly/test, where there are no ITC benefits. We acknowledge that higher revenue, improving loadings and 300mm production support strong incremental fall-through and FCF growth, but the current setup also suggests that capital intensity may remain higher for longer than the

cleanest version of the bull case assumes – and we raise our CY26 capex from \$2.6bn to \$2.8bn for CY26.

Result Details:

- **JunQ (strong beat MSe & cons).** \$5,463mn (up 13.2% q/q and 22.8% y/y) was above MSe and consensus at \$5,264mn/\$5,258mn. Analog sales were up 11.2% q/q and 26.4% y/y, while Embedded Processing was up 9.0% q/q and 16.1% y/y. Gross margin was 61.4%, above MSe and consensus at 60.0%/59.4%. EPS of \$2.14 was above MSe and consensus, both at \$1.94.
- **SepQ (strong beat MSe & cons).** Revenue guide of \$5,900mn at the midpoint was above MSe at \$5,706mn and consensus at \$5,626mn. EPS was guided to \$2.40, above MSe and consensus, both at \$2.18.
- **Changes to our estimates:** We revise our FY26 revenue/gross margin/EPS estimates to \$22.018bn/60.9%/\$8.57, from \$21.035bn/60.1%/\$7.82 prior, and our FY27 estimates to \$23.832bn/62.7%/\$9.80, from \$22.310bn/62.2%/\$8.50 prior.
- **We leave our multiple unchanged at 26x a slight discount to ADI (28x)** and reflects mid-cycle positioning. Based on our new CY27 EPS of \$9.80, our PT moves up from \$230 to \$255.

Risk Reward – Texas Instruments (TXN.O)

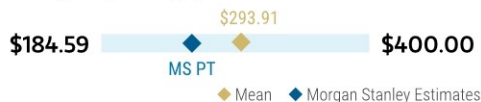
Underweight on limited upside given premium valuation & margin contraction

PRICE TARGET \$255.00

Represents 26x our CY27e EPS of \$9.80, reflecting mid-cycle positioning, a slight premium to its long-term average of 24x and ~in-line with large-cap analog peers.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research

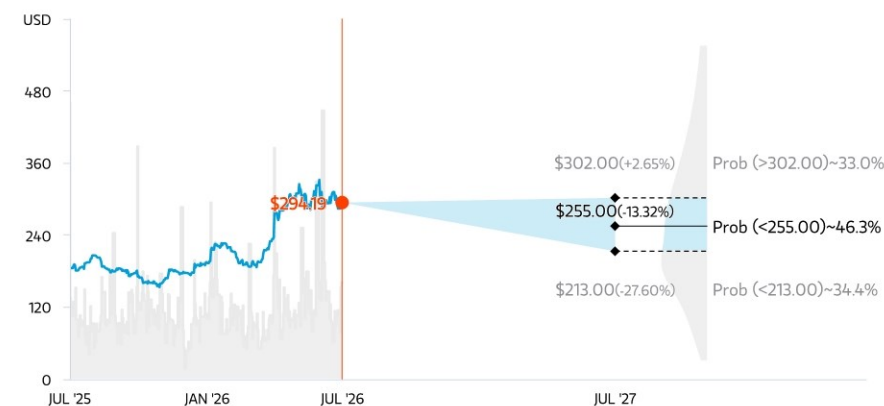


UNDERWEIGHT THESIS

■ TI is looking to ramp capex over the next few years to help bring more manufacturing in-house, but this will act as a near-term headwind to earnings and FCF growth. The company has also seen pricing and market share pressure in personal electronics and enterprise, as customers move to multisource components, and face competition with local Chinese supply.

■ The company trades at a premium valuation for its solid governance track record, and we admire the company's long-term direction, but we see this dynamic as limiting upside in the near-term as margin should come under pressure from the capex ramp.

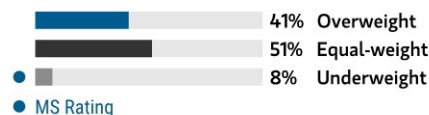
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$302.00

28x Bull Case 2027e EPS of \$10.78

Rebound in macroeconomic environment drives analog and embedded snapback, and end markets grow more than expected in 2026 & 2027.

- Revenue growth 14.7% in 2027
- Gross margin expands to 64.2% in 2027
- EPS of \$10.78 in 2027

BASE CASE \$255.00

26x Base case 2027e EPS of \$9.80

Assumes a moderate analog and embedded recovery through 2026 & 2027.

- 24.5% revenue growth in 2026 and 8.2% revenue growth in 2027
- TXN achieves 60.9% GMs in 2026 and 62.7% in 2027
- EPS of \$8.57 in CY26 and \$9.80 in CY27

BEAR CASE \$213.00

24x Bear Case 2027e EPS of \$8.86

Global macroeconomic weakness slows down the recovery in analog and embedded, and end markets remain weak.

- 1.7% revenue growth in 2027
- Gross margin of 61.2% in 2027
- EPS of \$8.86 in 2027

Risk Reward – Texas Instruments (TXN.O)

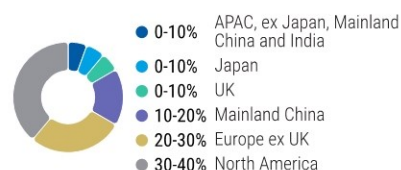
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, mm)	17,682	22,018	23,832	25,137
MW Gross Margin (%)	57.0	60.9	62.7	63.6
GAAP EPS (\$)	5.45	8.57	9.80	10.73
Inventory (\$, mm)	4,804	4,499	4,222	3,983
DOI	227.6	188.3	171.1	156.8

INVESTMENT DRIVERS

- Analog and embedded growth vs industry peers (ADI for analog, STM/Infineon/Renesas/NXP/MCHP for embedded).
- How increased capex will impact revenue growth and market share as well as depreciation burden on gross margin.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increasing domestic capacity leads to outsized market share gains.
- Recovery in consumer markets (personal electronics and embedded).
- Continued content gains in Auto and Industrial end-markets.

RISKS TO DOWNSIDE

- Continued market share loss in the embedded business.
- Pricing and market share pressure from China local capacity.
- Market share loss to ADI in the analog business.

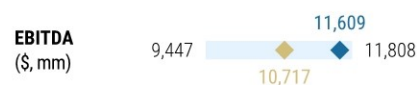
OWNERSHIP POSITIONING

Inst. Owners, % Active	49.7%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

TXN-US: Snapshot for the quarter ended June 2026

Qtr Results:		Income Statement							
		Actual	Lst Qtr	QoQ	Lst Yr	YoY	Cons.	MSe	
Revenue		\$5,463.0	\$4,825.0	13.2%	\$4,448.0	22.8%	\$5,258.0	\$5,263.8	
Gross Margin		61.4%	58.0%	335 bps	57.9%	347 bps	59.4%	60.0%	
EPS		\$2.14	\$1.68	\$0.46	\$1.41	\$0.73	\$1.94	\$1.94	
Nxt Qtr Outlook:		Low	High	Midpoint					
Revenue		\$5,650	\$6,150	\$5,900	8.0%	\$4,742.0	24.4%	\$5,625.8	\$5,705.5
Gross Margin						57.4%		60.1%	60.1%
EPS		\$2.23	\$2.57	\$2.40	\$0.26	\$1.48	\$0.92	\$2.18	\$2.18

Source: Company data, Morgan Stanley Research estimates

Exhibit 2: Income Statement Variance

GAAP financials (excl 1x items), \$ in Millions except per share				
	Reported FQ226	MS Est FQ226	Difference Act. vs. Est.	Per share Difference
Total Revenue	5,463.0	5,263.8	199.2	0.22
Cost of Sales	2,111.0	2,105.4	5.6	NM
Gross Profit	3,352.0	3,158.4	193.6	0.21
Gross Margin	61.4%	60.0%	1.4%	
R&D	535.0	525.0	10.0	(0.01)
SG&A	490.0	475.0	15.0	(0.02)
Other Opex (inc)	17.0	20.0	(3.0)	NM
Total Op Expenses	1,042.0	1,020.0	22.0	(0.03)
Operating Income	2,310.0	2,138.4	171.6	0.19
Operating Margin	42.3%	40.6%	1.7%	
Income tax provision	260.0	268.4	(8.4)	NM
Net Income	1,980.0	1,778.6	201.4	0.22
EPS	\$2.14	\$1.94	\$0.20	0.20
Diluted Shares Out.	920.0	913.0	913.0	

Source: Company data, Morgan Stanley Research estimates

Projected Financial Statements

Exhibit 3: TXN: Projected Income Statement

Texas Instruments Inc. GAAP Income Statement (\$ in millions; fiscal year ends in December)																				
	Mar-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	2023FY	2024FY	2025FY	2026FY	2027FY
	F1Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26E	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E					
Revenues	\$ 3,661	\$ 4,151	\$ 4,007	\$ 4,069	\$ 4,448	\$ 4,742	\$ 4,423	\$ 4,825	\$ 5,463	\$ 5,962	\$ 5,768	\$ 5,680	\$ 5,885	\$ 6,238	\$ 6,029	\$ 17,519	\$ 15,641	\$ 17,682	\$ 22,018	\$ 23,832
Consensus revs	-	-	-	-	-	-	-	-	-	\$ 5,802	\$ 5,422	-	-	-	-	-	-	-	\$ 21,096	\$ 23,526
Extraordinary	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Revenues - MW	3,661	4,151	4,007	4,069	4,448	4,742	4,423	4,825	5,463	5,962	5,768	5,680	5,885	6,238	6,029	17,519	15,641	17,682	22,018	23,832
Q/Q Change	-10.2%	8.6%	-3.5%	1.5%	9.3%	6.6%	-6.7%	9.1%	13.2%	9.1%	-3.3%	-1.5%	3.6%	6.0%	-3.4%	-12.5%	-10.7%	13.0%	24.5%	8.2%
Y/Y Change	-16.4%	-8.4%	-1.7%	11.1%	16.4%	14.2%	10.4%	18.6%	22.8%	25.7%	30.4%	17.7%	7.7%	4.6%	4.5%	-12.5%	-10.7%	13.0%	24.5%	8.2%
COGS	1,566.0	1,677.0	1,693.0	1,756.0	1,873.0	2,019.0	1,951.0	2,026.0	2,111.0	2,262.7	2,203.1	2,147.8	2,213.6	2,270.8	2,248.4	6,500.0	6,547.0	7,599.0	8,602.8	8,880.6
One-time Items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
COGS - MW	1,566.0	1,677.0	1,693.0	1,756.0	1,873.0	2,019.0	1,951.0	2,026.0	2,111.0	2,262.7	2,203.1	2,147.8	2,213.6	2,270.8	2,248.4	6,500.0	6,547.0	7,599.0	8,602.8	8,880.6
Gross Profit	2,095.0	2,474.0	2,314.0	2,313.0	2,575.0	2,723.0	2,472.0	2,799.0	3,352.0	3,699.6	3,565.0	3,532.0	3,671.6	3,967.3	3,780.7	11,019.0	9,094.0	10,083.0	13,415.6	14,951.6
Gross Margin	57.2%	59.6%	57.7%	56.8%	57.9%	57.4%	55.9%	58.0%	61.4%	62.1%	61.8%	62.2%	62.4%	63.6%	62.7%	62.9%	58.1%	57.0%	57.1%	60.9%
Gross Profit - MW	2,095.0	2,474.0	2,314.0	2,313.0	2,575.0	2,723.0	2,472.0	2,799.0	3,352.0	3,699.6	3,565.0	3,532.0	3,671.6	3,967.3	3,780.7	11,019.0	9,094.0	10,083.0	13,415.6	14,951.6
Gross Margin - MW	57.2%	59.6%	57.7%	56.8%	57.9%	57.4%	55.9%	58.0%	61.4%	62.1%	61.8%	62.2%	62.4%	63.6%	62.7%	62.9%	58.1%	57.0%	57.1%	60.9%
R&D	478.0	492.0	491.0	517.0	527.0	518.0	521.0	510.0	535.0	540.0	545.0	550.0	555.0	555.0	560.0	1,863.0	1,959.0	2,083.0	2,130.0	2,220.0
% of Revs.	13.1%	11.9%	12.3%	12.7%	11.8%	10.9%	11.8%	10.6%	9.8%	9.1%	9.4%	9.7%	9.4%	8.9%	9.3%	10.6%	12.5%	11.8%	9.7%	9.3%
One-time Items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
R&D - MW	478.0	492.0	491.0	517.0	527.0	518.0	521.0	510.0	535.0	540.0	545.0	550.0	555.0	555.0	560.0	1,863.0	1,959.0	2,083.0	2,130.0	2,220.0
% of Revs.	13.1%	11.9%	12.3%	12.7%	11.8%	10.9%	11.8%	10.6%	9.8%	9.1%	9.4%	9.7%	9.4%	8.9%	9.3%	10.6%	12.5%	11.8%	9.7%	9.3%
SG&A	455.0	428.0	446.0	472.0	485.0	457.0	446.0	464.0	490.0	490.0	490.0	490.0	490.0	490.0	490.0	1,825.0	1,794.0	1,860.0	1,934.0	1,960.0
% of Revs.	12.4%	10.3%	11.1%	11.6%	10.9%	9.6%	10.1%	9.6%	9.0%	8.2%	8.5%	8.6%	8.3%	7.9%	8.1%	10.4%	11.5%	10.5%	8.8%	8.2%
One-time Items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
SG&A - MW	455.0	428.0	446.0	472.0	485.0	457.0	446.0	464.0	490.0	490.0	490.0	490.0	490.0	490.0	490.0	1,825.0	1,794.0	1,860.0	1,934.0	1,960.0
% of Revs.	12.4%	10.3%	11.1%	11.6%	10.9%	9.6%	10.1%	9.6%	9.0%	8.2%	8.5%	8.6%	8.3%	7.9%	8.1%	10.4%	11.5%	10.5%	8.8%	8.2%
Other OpEx	(124.0)	-	-	-	-	85.0	32.0	17.0	17.0	17.0	17.0	17.0	100.0	100.0	100.0	-	(124.0)	117.0	68.0	317.0
Operating Expenses	809.0	920.0	937.0	989.0	1,012.0	1,060.0	999.0	991.0	1,042.0	1,047.0	1,052.0	1,057.0	1,145.0	1,145.0	1,150.0	3,688.0	3,629.0	4,060.0	4,132.0	4,497.0
% of Revs.	22.1%	22.2%	23.4%	24.3%	22.8%	22.4%	22.6%	20.5%	19.1%	17.6%	18.2%	18.6%	19.5%	18.4%	19.1%	21.1%	23.2%	23.0%	18.8%	18.9%
Operating Expenses - MW	939.0	920.0	937.0	989.0	1,012.0	975.0	967.0	974.0	1,025.0	1,030.0	1,035.0	1,040.0	1,045.0	1,045.0	1,050.0	3,688.0	3,753.0	3,943.0	4,064.0	4,180.0
% of Revs.	25.5%	22.2%	23.4%	24.3%	22.8%	20.6%	21.9%	20.2%	18.8%	17.3%	17.9%	18.3%	17.8%	16.8%	17.4%	21.1%	24.0%	22.3%	18.5%	17.5%
Operating Income	1,286.0	1,554.0	1,377.0	1,324.0	1,563.0	1,663.0	1,473.0	1,808.0	2,310.0	2,652.6	2,513.0	2,475.0	2,526.6	2,822.3	2,630.7	7,331.0	5,465.0	6,023.0	9,283.6	10,454.6
Operating Margin	35.1%	37.4%	34.4%	32.5%	35.1%	35.1%	33.3%	37.5%	42.3%	44.5%	43.6%	43.6%	42.9%	45.2%	43.6%	41.8%	34.9%	34.1%	42.2%	43.9%
Operating Income - MW	1,162.0	1,554.0	1,377.0	1,324.0	1,563.0	1,748.0	1,505.0	1,825.0	2,327.0	2,669.6	2,530.0	2,492.0	2,626.6	2,922.3	2,730.7	7,331.0	5,341.0	6,140.0	9,351.6	10,771.6
Operating Margin MW%	31.7%	37.4%	34.4%	32.5%	35.1%	36.9%	34.0%	37.8%	42.6%	44.8%	43.9%	43.9%	44.6%	46.8%	45.3%	41.8%	34.1%	34.7%	42.5%	45.2%
Total Interest Income (net) and Other Income	7.0	-	(18.0)	(48.0)	(85.0)	(79.0)	(101.0)	(84.0)	(72.0)	(72.0)	(62.0)	(37.0)	(37.0)	(32.0)	(32.0)	87.0	(12.0)	(313.0)	(300.0)	(138.0)
PBT	1,293.0	1,554.0	1,359.0	1,276.0	1,478.0	1,584.0	1,372.0	1,714.0	2,238.0	2,580.6	2,451.0	2,438.0	2,489.6	2,790.3	2,598.7	7,418.0	5,453.0	5,710.0	8,983.6	10,316.6
PBT Margin %	35.3%	37.4%	33.9%	31.4%	33.2%	33.4%	31.0%	35.5%	41.0%	43.3%	42.5%	42.9%	42.3%	44.7%	43.1%	42.3%	34.9%	32.3%	40.8%	43.3%
PBT - MW	1,169.0	1,554.0	1,359.0	1,276.0	1,478.0	1,669.0	1,404.0	1,731.0	2,255.0	2,597.6	2,468.0	2,455.0	2,589.6	2,890.3	2,698.7	7,418.0	5,329.0	5,827.0	9,051.6	10,633.6
PBT Margin MW%	31.9%	37.4%	33.9%	31.4%	33.2%	35.2%	31.7%	35.9%	41.3%	43.6%	42.8%	43.2%	44.0%	46.3%	44.8%	42.3%	34.1%	33.0%	41.1%	44.6%
Income Tax Expense (Benefit)	(188.0)	(192.0)	(154.0)	(97.0)	(183.0)	(220.0)	(209.0)	(169.0)	(258.0)	(335.5)	(318.6)	(316.9)	(323.7)	(362.7)	(337.8)	(908.0)	(654.0)	(709.0)	(1,081.1)	(1,341.2)
Effective tax rate %	14.5%	12.4%	11.3%	7.6%	12.4%	13.9%	15.2%	9.9%	11.5%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	12.2%	12.0%	12.4%	12.0%	13.0%
Net Income, Cont. Ops.	1,105.0	1,362.0	1,205.0	1,179.0	1,295.0	1,364.0	1,163.0	1,545.0	1,980.0	2,245.1	2,132.4	2,121.0	2,166.0	2,427.6	2,260.8	6,510.0	4,799.0	5,001.0	7,902.5	8,975.4
Extraordinary, net of tax	(106.0)	-	-	-	-	73.2	27.1	15.3	15.0	14.8	14.8	14.8	87.0	87.0	87.0	-	(106.0)	100.3	59.9	275.8
Net Income, Cont. Ops. - MW	999.0	1,362.0	1,205.0	1,179.0	1,295.0	1,437.2	1,190.1	1,560.3	1,995.0	2,259.9	2,147.2	2,135.8	2,253.0	2,514.6	2,347.8	6,510.0	4,693.0	5,101.3	7,962.4	9,251.2
Net Income Margin MW%	27.3%	32.8%	30.1%	29.0%	29.1%	30.3%	26.9%	32.3%	36.5%	37.9%	37.2%	37.6%	38.3%	40.3%	38.9%	37.2%	30.0%	28.9%	36.2%	38.8%
Income (Loss) from Discontinued Operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income - GAAP	1,105.0	1,362.0	1,205.0	1,179.0	1,295.0	1,364.0	1,163.0	1,545.0	1,980.0	2,245.1	2,132.4	2,121.0	2,166.0	2,427.6	2,260.8	6,510.0	4,799.0	5,001.0	7,902.5	8,975.4
Net Income Margin GAAP %	30.2%	32.6%	30.1%	29.0%	29.1%	28.8%	26.3%	32.0%	36.2%	37.7%	37.0%	37.3%	36.8%	39.5%	37.5%	37.2%	30.7%	28.3%	35.9%	37.7%
Less income allocated to RSUs - GAAP	(5.0)	(7.0)	(7.0)	(6.0)	(7.0)	(8.0)	(7.0)	(9.0)	(11.0)	(11.0)	(11.0)	(11.0)	(11.0)	(11.0)	(11.0)	(34.0)	(25.0)	(28.0)	(42.0)	(44.0)
Less income allocated to RSUs - non GAAP	(15.0)	(20.4)	(18.1)	(17.7)	(19.4)	(21.6)	(17.9)	(23.4)	(29.9)	(33.9)	(32.2)	(32.0)	(33.8)	(37.7)	(35.2)	(97.7)	(70.4)	(76.5)	(119.4)	(138.8)
Net Income (Less income allocated to RSUs) - GAAP	1,100.0	1,355.0	1,198.0	1,173.0	1,288.0	1,356.0	1,156.0	1,536.0	1,969.0	2,234.1	2,121.4	2,110.0	2,155.0	2,416.6	2,249.8	6,476.0	4,774.0	4,973.0	7,860.5	8,931.4
EPS - GAAP	\$ 1.20	\$ 1.47	\$ 1.30	\$ 1.28	\$ 1.41	\$ 1.48	\$ 1.27	\$ 1.68	\$ 2.14	\$ 2.43	\$ 2.31	\$ 2.31	\$ 2.36	\$ 2.66	\$ 2.48	\$ 7.07	\$ 5.20	\$ 5.45	\$ 8.57	\$ 9.80

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: TXN: Projected Balance Sheet

Texas Instruments Inc. Balance Sheet		Mar-24		Sep-24		Mar-25		Sep-25		Mar-26		Sep-26		Mar-27		Sep-27		2023FY		2024FY		2025FY		2026FY		2027FY	
(\$ in millions; fiscal year ends in December)		F1Q24A	F3Q24A	F1Q24A	F3Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26E	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E										
Assets																											
Cash and cash equivalents		\$ 2,483.0	\$ 2,588.0	\$ 3,200.0	\$ 2,763.0	\$ 3,044.0	\$ 3,311.0	\$ 3,225.0	\$ 3,549.0	\$ 3,660.0	\$ 3,973.8	\$ 4,577.7	\$ 4,036.5	\$ 4,314.0	\$ 4,762.8	\$ 5,031.2	\$ 5,031.2	\$ 2,864.0	\$ 3,200.0	\$ 3,225.0	\$ 3,225.0	\$ 3,457.7	\$ 5,031.2				
Short-term marketable securities		7,910.0	8,163.0	4,390.0	2,242.0	2,315.0	1,875.0	1,656.0	1,554.0	3,341.0	3,341.0	3,341.0	3,341.0	3,341.0	3,341.0	3,341.0	3,341.0	5,611.0	4,390.0	1,656.0	3,341.0	3,341.0					
Accounts receivable		1,671.0	1,862.0	1,719.0	1,860.0	1,934.0	2,062.0	1,963.0	2,245.0	2,520.0	2,482.9	2,402.1	2,365.3	2,458.9	2,597.8	2,510.7	2,510.7	1,787.0	1,719.0	1,963.0	2,402.1	2,510.7					
Inventories		4,083.0	4,296.0	4,527.0	4,687.0	4,812.0	4,829.0	4,804.0	4,695.0	4,605.0	4,744.3	4,496.7	4,385.8	4,396.8	4,388.0	4,221.5	4,221.5	3,999.0	4,527.0	4,804.0	4,498.7	4,221.5					
Deferred income taxes		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Prepaid expenses and other current assets		1,301.0	962.0	1,200.0	1,534.0	2,379.0	1,799.0	2,102.0	1,753.0	1,631.0	1,631.0	1,631.0	1,631.0	1,631.0	1,631.0	1,631.0	1,631.0	761.0	1,200.0	2,102.0	1,631.0	1,631.0					
Total Current Assets		17,448.0	15,872.0	15,026.0	13,086.0	14,484.0	13,876.0	13,750.0	13,796.0	15,757.0	16,173.1	16,450.5	15,759.6	16,135.6	16,740.6	16,735.4	16,735.4	15,122.0	16,026.0	13,750.0	16,450.5	16,735.4					
Property and equipment, net		10,442.0	11,802.0	11,347.0	11,811.0	12,321.0	12,348.0	12,320.0	12,145.0	11,911.0	11,914.7	12,047.2	11,973.3	11,915.3	11,883.3	11,767.5	11,767.5	9,999.0	11,347.0	12,320.0	12,047.2	11,767.5					
Long-term investments		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill		4,362.0	4,362.0	4,362.0	4,362.0	4,362.0	4,362.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,362.0	4,362.0	4,330.0	4,330.0	4,330.0					
Acquisition-related intangibles		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes		821.0	941.0	936.0	1,030.0	1,096.0	1,089.0	967.0	973.0	1,017.0	1,017.0	1,017.0	1,017.0	1,017.0	1,017.0	1,017.0	1,017.0	757.0	936.0	967.0	1,017.0	1,017.0					
Capitalized software licenses		231.0	220.0	257.0	263.0	248.0	237.0	238.0	323.0	314.0	314.0	314.0	314.0	314.0	314.0	314.0	314.0	223.0	257.0	238.0	314.0	314.0					
Total Assets		34,885.0	35,321.0	35,509.0	33,757.0	34,933.0	35,004.0	34,585.0	34,393.0	35,882.0	36,441.5	36,987.2	36,355.9	36,796.1	37,497.7	37,433.4	37,433.4	32,348.0	35,509.0	34,585.0	36,987.2	37,433.4					
Liabilities & Shareholders' Equity																											
Accounts payable		551.0	794.0	820.0	866.0	881.0	779.0	756.0	638.0	680.0	991.9	965.8	941.5	970.4	995.4	985.6	985.6	802.0	820.0	756.0	965.8	985.6					
Accrued compensation		399.0	721.0	839.0	416.0	595.0	724.0	829.0	389.0	536.0	616.0	696.0	456.0	536.0	616.0	696.0	696.0	836.0	839.0	829.0	696.0	696.0					
Income taxes payable		376.0	106.0	159.0	106.0	53.0	79.0	67.0	138.0	70.0	70.0	70.0	70.0	70.0	70.0	70.0	70.0	172.0	159.0	67.0	70.0	70.0					
Accrued expenses and other liabilities		876.0	1,014.0	1,075.0	921.0	963.0	1,036.0	1,007.0	762.0	809.0	809.0	809.0	809.0	809.0	809.0	809.0	809.0	911.0	1,075.0	1,007.0	809.0	809.0					
Total Current Liabilities		2,204.0	2,637.0	2,893.0	2,489.0	2,492.0	2,618.0	2,659.0	1,947.0	2,095.0	2,486.9	2,540.8	2,276.5	2,385.4	2,490.4	2,560.6	2,560.6	2,721.0	2,637.0	2,659.0	2,540.8	2,560.6					
Long-term debt (includes ST portion)		14,189.0	13,893.0	13,596.0	12,848.0	14,043.0	14,046.0	14,048.0	14,050.0	14,052.0	13,552.0	13,552.0	12,902.0	12,902.0	12,902.0	12,902.0	12,902.0	11,223.0	13,596.0	14,048.0	13,552.0	12,902.0					
Deferred income taxes		55.0	54.0	53.0	56.0	63.0	60.0	66.0	63.0	55.0	55.0	55.0	55.0	55.0	55.0	55.0	55.0	63.0	53.0	60.0	55.0	55.0					
Other liabilities		1,454.0	1,469.0	2,064.0	1,956.0	1,932.0	1,653.0	1,539.0	1,555.0	1,673.0	1,673.0	1,673.0	1,673.0	1,673.0	1,673.0	1,673.0	1,673.0	1,444.0	2,064.0	1,539.0	1,673.0	1,673.0					
Shareholders' Equity		16,983.0	17,268.0	16,983.0	16,406.0	16,403.0	16,627.0	16,273.0	16,778.0	16,007.0	16,674.7	19,166.4	19,448.4	19,780.8	20,377.2	20,742.8	20,742.8	16,897.0	16,903.0	16,273.0	19,166.4	20,742.8					
Total Liabilities & Equity		34,885.0	35,321.0	35,509.0	33,757.0	34,933.0	35,004.0	34,585.0	34,393.0	35,882.0	36,441.5	36,987.2	36,355.9	36,796.1	37,497.7	37,433.4	37,433.4	32,348.0	35,509.0	34,585.0	36,987.2	37,433.4					

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: TXN: Projected Cash Flow Statement

Texas Instruments Statement of Cash Flows		Mar-24		Jun-24		Sep-24		Dec-24		Mar-25		Jun-25		Sep-25		Dec-25		Mar-26		Jun-26		Sep-26		Dec-26		Mar-27		Jun-27		Sep-27		Dec-27		2023FY		2024FY		2025FY		2026FY		2027FY			
(\$ in millions; fiscal year ends in December)		F1Q24A	F2Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26E	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E																												
Cash flows provided by (used for) operating activities																																													
Net income		\$ 1,105.0	\$ 1,127.0	\$ 1,362.0	\$ 1,205.0	\$ 1,179.0	\$ 1,295.0	\$ 1,364.0	\$ 1,163.0	\$ 1,545.0	\$ 1,590.0	\$ 2,365.1	\$ 2,132.4	\$ 2,121.0	\$ 2,196.0	\$ 2,427.6	\$ 2,260.9	\$ 651.0	\$ 4,799.0	\$ 5,001.0	\$ 7,902.5	\$ 6,975.4																							
Adjustments to reconcile net income to net cash		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Depreciation		346.0	363.0	383.0	416.0	424.0	460.0	497.0	537.0	541.0	547.0	572.0	597.0	622.0	629.0	642.0	652.0	622.0	1,558.0	1,918.0	2,257.0	2,578.0																							
Short-term-based compensation		106.0	116.0	87.0	76.0	116.0	129.0	127.0	81.0	109.0	127.0	127.0	127.0	129.0	125.0	125.0	125.0	362.0	387.0	419.0	480.0	503.6																							
Amortization of acquired-related intangibles		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Loss (gain) on sale of assets		(129.0)	3.0	-	72.0	-	-	-	-	81.0	21.0	21.0	-	-	-	-	-	63.0	46.0	7.9	10.0	42.0	-																						
Deferred income taxes		(71.0)	(85.0)	(33.0)	(21.0)	(87.0)	(50.0)	3.0	115.0	(4.0)	(82.0)	-	-	-	-	-	-	(29.0)	(210.0)	(19.0)	(86.0)	-																							
Other operating activities		16.0	16.0	16.0	(53.0)	20.0	21.0	20.0	(81.0)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Changes in current assets and liabilities:																																													
Accounts receivable		116.0	(46.0)	(151.0)	143.0	(141.0)	(74.0)	(128.0)	98.0	(282.0)	(275.0)	37.1	80.8	36.8	(85.6)	(146.9)	87.0	138.0	66.0	(244.0)	(438.1)	(109.6)																							
Inventories		(84.0)	(23.0)	130.0	(231.0)	(160.0)	(125.0)	(17.0)	25.0	109.0	80.0	(139.0)	245.5	11.9	(13.0)	10.9	166.4	(1,242.0)	(528.0)	(277.0)	30.3	277.2																							
Prepaid expenses and other current assets		(23.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)	(15.0)																							
Accounts payable and accrued expenses		(77.0)	(102.0)	130.0	87.0	(121.0)	(82.0)	86.0	20.0	(125.0)	(101.0)	311.9	26.1	(24.2)	28.8	25.1	189.8	(33.0)	(33.0)	125.0	77.0	261.8																							
Accrued compensation		(44.0)	(168.0)	149.0	(161.0)	(147.0)	(172.0)	121.0	133.6	(447.0)	(542.0)	80.0	(244.0)	80.0	(80.0)	80.0	80.0	20.0	20.0	(12.0)	(146.0)	-																							
Accounts payable		212.0	120.0	120.0	132.0	(132.0)	(171.0)	132.0	171.0	(171.0)	(171.0)	171.0	(171.0)	171.0	(171.0)	(171.0)	(171.0)	(171.0)	(171.0)	(171.0)	(171.0)	(171.0)																							
Other liabilities		(85.0)	(276.0)	330.0	(276.0)	(276.0)	(276.0)	20.0	20.0	20.0	20.0	20.0	20.0	20.0	20.0	20.0	20.0	(20.0)	(20.0)	(20.0)	(20.0)	(20.0)																							
Cash provided by operating activities		1,071.7	1,274.7	1,312.0	1,299.0	1,249.0	1,402.0	1,493.0	1,190.0	1,782.0	1,813.0	3,094.0	3,100.0	2,603.0	2,821.0	3,045.5	3,135.7	6,425.0	6,118.7	6,155.0	10,416.0	11,804.2																							
Cash flows from investing activities:																																													
Purchase of property and equipment, net		(1,248.0)	(1,064.0)	(1,316.0)	(1,192.0)	(1,123.0)	(1,305.0)	(1,197.0)	(925.0)	(676.0)	(714.0)	(575.7)	(729.5)	(548.1)	(584.0)	(620.0)	(548.2)	(2,407.0)	(4,785.0)	(4,820.0)	(4,550.0)	(2,298.2)																							
Sale of property and equipment, net		(94.9)	(2,098.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)	(1,742.0)																							
Sales and redemptions of short-term investments		2,631.9	3,130.0	2,700.0	2,726.0	2,807.0	3,131.0	3,260.0	3,110.0	3,943.0	3,236.0	-	-	-	-	-	-	13,387.0	11,187.0	6,308.0	1,676.0	-																							
Purchase of long-term investments		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-																							
Sales and redemptions of long-term investments		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-																							
Other investing activities		(100.6)	33.0	(29.0)	(11.0)	(218.0)	31.0	61.0	18.0	(521.0)	(583.0)	-	-	-	-	-	-	(4,227.0)	(3,472.0)	327.0	1,510.0	-																							
Cash used for investing activities		(1,019.7)	(1,048.0)	(1,084.0)	(1,011.0)	(1,083.0)	(1,355.0)	(1,081.0)	(816.0)	(1,702.0)	(1,702.0)	(676.7)	(729.5)	(584.1)	(584.0)	(620.0)	(548.2)	(1,427.0)	(3,702.0)	(3,593.0)	(1,458.0)	(2,298.2)																							
Cash flows from financing activities:																																													
Proceeds (payments) of outstanding debt		2,980.0	(300.0)	(300.0)	(300.0)	750.0	1,199.0	-	-	-	-	(600.0)	-	-	-	-	-	2,500.0	2,380.0	449.0	600.0	(1,150.0)																							
Proceeds from the sale of common stock		(1,820.0)	(1,185.0)	(1,185.0)	(1,185.0)	(1,185.0)	(1,235.0)	(1,236.0)	(1,200.0)	(1,201.0)	(1,295.0)	(1,304.0)	(1,367.0)	(1,364.0)	(1,360.0)	(1,387.0)	(1,421.2)	(4,537.0)	(4,746.0)	(4,899.0)	(5,258.1)	(5,502.0)																							
Issuance of Common Stock/BenefitPurchase of Options		65.0	248.0	117.0	80.0	116.0	115.0	125.0	42.0	329.0	451.0	(40.0)	(40.0)	20.0	20.0	20.0	20.0	263.0	519.0	400.0	750.0	-																							
Common stock repurchase		(65.0)	(71.0)	(116.0)	(637.0)	(653.0)	(602.0)	(119.0)	(443.0)	(158.0)	(27.0)	(40.0)	(40.0)	(60.0)	(60.0)	(60.0)	(60.0)	(60.0)	(60.0)	(60.0)	(60.0)	-																							
Other financing activities		(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)	(181.0)																							
Net cash used for financing activities		(1,511.9)	(1,314.0)	(1,396.0)	(1,607.0)	(2,539.0)	(2,442.0)	(2,442.0)	(1,664.0)	(1,588.0)	(1,588.0)	(2,204.5)	(2,167.0)	(2,141.0)	(1,940.9)	(1,957.6)	(2,521.3)	(2,124.0)	(2,688.0)	(3,889.0)	(3,851.1)	(9,352.6)																							
Effect of exchange rate changes on cash and cash eq																																													
Net cash provided by (discontinued) operations																																													
Cash and cash equivalents, beginning of period		2,964.0	2,483.0	2,746.0	3,599.0	3,299.0	2,763.0	3,644.0	3,311.0	3,235.0	3,549.0	3,660.0	3,973.0	4,577.0	4,095.6	4,314.0	4,782.8	3,059.0	2,864.0	3,200.0	3,226.0	4,577.7																							
Change in cash flow due to restatement																																													
Net increase (decrease) in cash and cash equivalents		(483.0)	267.0	(101.0)	91.0	(477.0)	291.0	287.0	36.0	324.0	111.0	318.0	603.8	(541.2)	777.6	469.6	268.3	(86.4)	236.0	25.0	1,352.7	453.8																							
Cash and cash equivalents, end of period		2,481.0	2,750.0	2,645.0	3,690.0	2,822.0	3,054.0	3,931.0	3,347.0	3,559.0	3,660.0	3,978.8	4,581.8	4,036.4	4,873.6	4,783.6	5,051.1	2,972.6	3,090.0	3,225.0	4,577.7	5,031.2																							

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Texas Instruments (TXN.O) - As of 07/23/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 7/1/21 : U/I; 12/7/23 : U/A

Price Target History: 4/12/21 : 176; 7/19/21 : 185; 7/22/21 : 193; 10/26/21 : 195; 1/25/22 : 198; 4/25/22 : 181; 4/26/22 : 170; 6/9/22 : 155; 7/26/22 : 160; 10/25/22 : 152; 1/24/23 : 166; 4/25/23 : 159; 7/25/23 : 164; 10/10/23 : 156; 10/24/23 : 138; 1/23/24 : 146; 4/23/24 : 150; 7/10/24 : 156; 7/23/24 : 168; 10/10/24 : 154; 10/22/24 : 167; 1/23/25 : 165; 4/20/25 : 146; 4/23/25 : 148; 7/21/25 : 205; 7/22/25 : 197; 9/12/25 : 192; 10/21/25 : 175; 1/27/26 : 180; 4/22/26 : 221; 7/20/26 : 230

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$552.33
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$16.75
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$49.87
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$69.01
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$66.97
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$386.73
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$330.90
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$396.81
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$209.80
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$58.49
Intel Corporation (INTC.O)	E (02/22/2023)	\$102.62
IonQ Inc (IONQ.N)	E (04/25/2023)	\$34.68
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$210.99
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$85.02
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$959.48
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	\$12.67
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$212.06
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$278.80
ON Semiconductor Corp. (ON.O)	++	\$92.33
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$89.48
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$175.63
Quantinuum (QNT.O)	E (06/29/2026)	\$54.88
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,599.27
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$136.93
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$217.17
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$63.16
Texas Instruments (TXN.O)	U (04/13/2020)	\$294.19

Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$29.27
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$283.40
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$337.01
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$377.61

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* Historical prices are not split adjusted.

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